The RV Expense Normalizer

Property: _____ **Date:** _____

Part D: Prove the numbers.

Takes in: RV P and L with OTA and amenity lines.

Hands to: AS-07 (the offer), AS-16 (lender NOI), AS-19 (the decision).

RV books hide their real costs in turnover labor, OTA commissions, and amenity lines the seller calls marketing. Rebuild the expenses the way the park will run under you, then underwrite that number.

Built for RV park expense math. For MHC books, use its sibling: Mom-and-Pop Expense Normalizer (AS-08).

1. Why RV expenses lie

- Housekeeping and turnover labor booked as contract help, or missing entirely.
- OTA and platform commissions netted out of revenue instead of shown as an expense.
- Seasonal labor that vanishes in the off season and returns every summer.
- Amenity costs (pool, store, activities) buried in general lines.
- Owner labor and family payroll at rates that leave with the family.

2. Normalize worksheet

Status letter per line: V verified, B broker-reported, M missing evidence, A assumed, C calculated, U unresolved.

Expense line	Seller claims	Add back	Normalized	Stat
Housekeeping and turnover labor				
OTA and platform commissions				
Seasonal labor and payroll taxes				
Amenities: pool, store, activities				
Marketing and advertising				
Insurance (re-quote it, do not take the seller's)				
Property taxes (reassess at purchase price; ask your CPA)				
Management (price it even if self-managing)				
Repairs (normalize over 3 years, not the best year)				
Utilities (12-month bills, not the OM)				
Bad debt and legal				
Reserve line (rule of thumb, verify locally)				
TOTAL NORMALIZED EXPENSES				

3. Normalized NOI

Normalized NOI = verified gross revenue minus normalized expenses. Revenue is verified through the AS-15R tie-out. This is the number you underwrite, not the seller's.

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Worked example: Pine Hollow RV Park (fictional)

Fictional park, fictional buyer. Seeds: deposits $352,000, corrected proven transient earned $210,500 (AS-15R tie-out), proven long-stay $129,600 (18 x 600 x 12, verified clean), 13,505 available site-nights. Revenue base used: $340,100 of total proven earned revenue (210,500 + 129,600). All derived numbers show their math.

Expense line	Seller claims	Add back	Normalized
Housekeeping and turnover labor	28,000 (contract help)	46,000 (family turn wages at replacement cost)	74,000
OTA and platform commissions	0 (netted from revenue)	9,600 (platform fees from the AS-15R bridge, moved back to expense)	9,600
Seasonal labor and payroll taxes	48,000	12,000 (off-season payroll taxes and summer return, priced at your wage)	60,000
Amenities: pool, store, activities	6,000	14,000 (supplies and activity wages buried in marketing and office)	20,000
Insurance (re-quote it, do not take the seller's)	9,000	6,000 (re-quote)	15,000
Property taxes (reassess at purchase price; ask your CPA)	12,000	0 (CPA confirms)	12,000

Seller total 28,000 + 48,000 + 6,000 + 9,000 + 12,000 = $103,000. Add-backs 46,000 + 9,600 + 12,000 + 14,000 + 6,000 = $87,600. Normalized total 103,000 + 87,600 = $190,600.

Expense ratio = 190,600 / 340,100 = 56.0%. Rule of thumb, verify locally: a real RV park lands 45 to 60%. Under 40% means costs are hiding. Over 65% means the model is wrong.

Cost per available site-night: 190,600 / 13,505 = $14.11. Proven NOI at this base: 340,100 - 190,600 = $149,500.

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The Doctrine

The belief this tool shatters is that the seller's P and L is the expense number you will run. In an RV park it is not. Turnover labor vanishes into family hands, OTA commissions net against revenue, amenity costs hide inside marketing lines, and the off-season payroll never matches the summer one. Underwrite the seller's expenses and you buy a margin that was never yours. Rebuild every line the way the park runs under you, price the turnover labor at the wage you will pay, put the commissions back where they belong, and hold six months of real costs in reserve, rule of thumb, verify locally. The one rule: the expenses you underwrite are the expenses of your park, not the seller's. If a line cannot survive that rebuild, the seller's NOI is fiction.

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